

Support appears at 19, set up by the base of a right-angled and ascending broadening formation. If price pierces 19, then I would consider it likely to stall at 16. Although not shown in the figure, 16 is the price at which the decline stalled during the summer and fall of 2001. Additional support appears as a broadening top, centered near 14, and extending as far back as 1999.

Since the measure rule target (18.47) and support (at 19) are nearly the same price, that is where I would expect price to stop. If the market were also trending down during the trade, an additional decline to the next support zone (16) might be possible or even likely. A target below that might be a dream unless company fundamentals are in serious trouble.

With a breakout price of 21.11 and a target of 19, is a 10% decline worth trading, especially a risky short sale? I don't think so. Suppose price declines to 16, for a 24% loss. Now we are talking!

If fundamental analysis shows the market flooded with nickel, copper, cobalt, or precious metals, all of which Inco produces, then the oversupply should translate into a lower stock price. News such as that would give me confidence to short the stock.

In the coming days, price drops. For short-term traders, consider covering the short once price nears support at 19 or the predicted target of 18.47. Many times, the decline won't reach the target, and it may be prudent to take your profits or tighten (lower) your stop. A lower stop allows you to capture more of your profit but still gives the stock room to drop farther.

If you put an order to cover the short at 18.47, you would have missed it because price declined to 18.52 before rebounding for a week. Patience would be rewarded, though, when price dropped through support and continued down, triggering the order.

The stock hit 16.05, pulled back to the price target, and then resumed the decline, making a lower low. Drawing a down trendline connecting the minor highs would give a timely cover signal. If you missed that signal, a retest of the low at 16 in early August was another one. Since the minor low did not make a lower low, that suggested a trend change.

The price pattern takes the shape of a head-and-shoulders bottom (the S-H-S pattern in July and August), suggesting higher prices ahead and time to